



TPS EASTERN AFRICA LIMITED

AUDITED CONSOLIDATED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2013

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the audited results and financial statements for the year ended 31 December 2013.

CONDENSED CONSOLIDATED INCOME STATEMENT:

	2013 Shs' 000	2012 Shs' 000
Sales	6,841,420	5,343,960
Earnings before exchange loss, interest, depreciation and taxation	1,467,815	1,164,826
Exchange gain/(loss) on foreign currency loans	16,709	(27,877)
Net interest expense	(144,822)	(154,561)
Depreciation on property, plant and equipment	(388,246)	(303,694)
Share of results of associates	21,791	42,822
Profit before income tax	973,247	721,516
Current income tax	(227,808)	(144,422)
Deferred income tax	(76,909)	(83,506)
Profit for the year	668,530	493,588
Attributable to:		
Equity holders of the Company	628,943	533,683
Non controlling interest	39,587	(40,095)
	668,530	493,588
Earnings per share for profit attributable to equity holders of the Company		
- basic & diluted (Shs per share)	3.45	3.60
Weighted average number of shares (000s)	182,174	148,211

CONDENSED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME:

	2013 Shs' 000	2012 Shs' 000
Profit for the year	668,530	493,588
Other comprehensive income	97,745	(166,328)
Total comprehensive income for the year	766,275	327,260
Attributable to:		
Equity holders of the Company	726,688	367,355
Non controlling interest	39,587	(40,095)
	766,275	327,260

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION:

	2013 Shs'000	2012 Shs'000
CAPITAL EMPLOYED		
Total equity	11,032,277	8,181,410
Non-current liabilities	2,961,910	3,256,705
	13,994,187	11,438,115
REPRESENTED BY		
Non-current assets	13,865,058	11,413,799
Net current (liabilities)/assets	129,129	24,316
	13,994,187	11,438,115

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY:

	Share capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Translation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Non controlling interest Shs'000	Total Shs'000
Year ended 31 December 2013								
At start of year	148,211	3,032,431	2,370,118	(256,921)	2,638,137	192,674	56,760	8,181,410
Comprehensive income for the year								
Profit for the year	-	-	-	-	628,943	-	39,587	668,530
Other comprehensive income	-	-	(30,295)	97,745	30,295	-	-	97,745
Total comprehensive income for the year	-	-	(30,295)	97,745	659,238	-	39,587	766,275
On acquisition	-	-	-	-	-	-	883,066	883,066
Transactions with owners								
Issue of shares	33,963	1,360,237	-	-	-	-	-	1,394,200
Dividends:								
- final for 2012 paid	-	-	-	-	-	(192,674)	-	(192,674)
- proposed for 2013	-	-	-	-	(245,935)	245,935	-	-
	33,963	1,360,237	-	-	(245,935)	53,261	-	1,201,526
At end of year	182,174	4,392,668	2,339,823	(159,176)	3,051,440	245,935	979,413	11,032,277

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS:

	2013	2012
	Shs'000	Shs'000
Net cash generated from operating activities	948,973	1,179,752
Net cash used in investing activities	(468,617)	(919,572)
Net cash used in financing activities	(718,974)	(366,585)
Net decrease in cash and cash equivalents	(238,618)	(106,405)
Movement in cash and cash equivalents		
At start of year	47,650	194,765
Decrease in cash	(238,618)	(106,405)
Effect of currency translation differences	72,497	(40,710)
At end of year	(118,471)	47,650

Commentary

The Company faced a challenging business landscape in Kenya during the first half of year 2013, as all foreign business segments took a cautious approach due to the uncertain political environment and in view of the travel advisories and other forms of security alerts issued by some governments in the source markets during the pre and post-General Elections. During the last quarter 2013 the Jomo Kenyatta International Airport fire incident (7th August), Westgate Mall (Nairobi) ordeal (21st to 24th September) and grenade attacks in tourist areas in Mombasa resulted in further anxiety in source markets. On a positive note, TPS (K)'s performance from July to September 2013 on the corporate front was encouraging and the general elections proved peaceful. Other setbacks include the escalated poaching in Kenya and Tanzania; and the introduction of 16% Value Added Tax on tourism services in Kenya including park entrance fees that has made destination Kenya uncompetitive compared to other destinations.

Serena Tanzania and Uganda recorded satisfactory performance during the period under review and the outlook for 2014 is at encouraging levels.

For the year 2013, TPS Eastern Africa Ltd recorded a Turnover of KShs. 6.8 billion compared to KShs. 5.3 billion in the previous year, an increase of 28%, and achieved a Profit Before Tax of KShs. 973 million compared to KShs. 722 million in the previous year, a growth of 34.9%. Taking all factors into account, the Company's performance for the year 2013 is commendable. The satisfactory performance has been achieved due to strategic decisions made since year 2006 which saw the regionalization and integration of the Group's business activities in the Eastern Africa Region.

The Group continued to implement refurbishment of existing properties, appropriate Human Resource Management practices and sound Corporate Social Responsibility programs that complement its long-term business strategy, just as it continues to pursue new business opportunities in line with its diversification policy and strategy that extends the marketing and sales outreach to non-traditional markets.

The Company continues to be a significant contributor to the revenues of the Governments of Kenya, Tanzania and Uganda and paid, in aggregate, the equivalent of KShs. 1,599 million (2012: KShs. 1,369 million) in direct and indirect taxes and equivalent of KShs. 187 million (2012: KShs. 196 million) to local authorities in royalty/land rent payments in the various jurisdictions during 2013.

Dividend

The Directors are recommending for approval, at the forthcoming Annual General Meeting, payment of a final dividend for 2013 of KShs 1.35 per share (2012: KShs 1.30 per share), subject to payment of withholding tax, where applicable. The dividend will be payable on or about June 20, 2014 to members on the Register at the close of business on May 28, 2014.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on Wednesday May 28, 2014 at 11.00 a.m. at the Kenyatta International Conference Centre, Nairobi.

By Order of the Board

Dominic Ng'ang'a
Company Secretary

April 15, 2014
Nairobi

The above income statement, statement of financial position, statement of changes in equity and summary statement of cash flows are an extract from the audited financial statements for the Company for the year ended 31 December 2013.



SERENA HOTELS

SAFARI LODGES AND CAMPS
HOTELS . RESORTS